Academic Research Project- Not a Recommendation

Equity Research Report

Infosys Ltd.

(AI-First Digital Transformation)

About the Company

Infosys Limited is a global leader in **AI-first business consulting and technology services**. Established in 1981, the company helps enterprises across **59 countries** accelerate digital transformation and unlock AI-led business value. Infosys combines deep domain expertise with capabilities across **AI, cloud, data, cybersecurity, digital services and enterprise technology**. With over four decades of experience, Infosys serves **1,965 active clients** and has **3,28,594 employees** as of FY2026. The company reported **₹1,78,650 crore of revenue** in FY2026. Its strategy is focused on helping clients navigate their AI journey by building strong data foundations, cloud capabilities and responsible AI solutions. Infosys operates across **290 locations in 59 countries** and continues to expand its capabilities through strategic acquisitions and partnerships in areas such as AI, cybersecurity, cloud, consulting and digital transformation.

Overall View

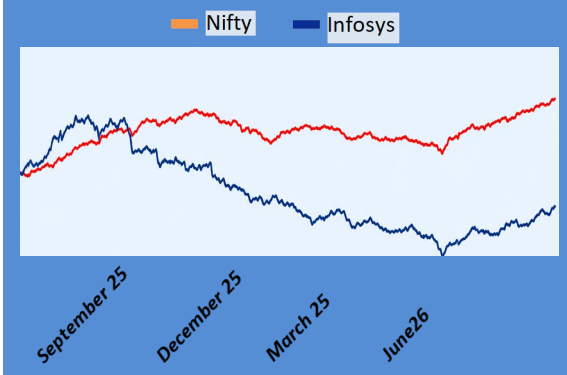
- **Healthy revenue growth** was supported by strong client demand for AI-led transformation, cloud, data and digital services. Infosys is increasingly positioned as an **AI-first technology services partner**, with AI-led programs deployed across 90% of its top 200 clients.
- **Growth momentum remained resilient**, supported by large deal wins, increasing AI adoption, cloud and data capabilities, and continued demand for enterprise transformation. Infosys reported **US$14.9 billion in large deal wins** during FY2026.
- **Margins remained strong**, with FY2026 adjusted operating margin at **21.0%**, reflecting disciplined execution and operating efficiency. Free cash flow stood at **US$3.7 billion**.

Company Name	Infosys Limited
ISIN Code	INE009A01021
BSE Code	500209
NSE Symbol	INFY
Sector Name	Information Technology
Industry	Computers - Software & Consulting
Exchange Name	BSE: 500209, NSE: INFY

Recommendation	: XXX
CMP	: 1020.5
Target Price	: XXX

Stock Data	
Nifty	: 24,118.60
52 weeks H/L (INR)	: 1.727.85/982.40
Market Cap (INR Cr.)	: 4,21,123
O/S shares(cr.)	:2,400
Dividend Yield %	: 4.6%
NSE Code	: INFY

Relative Stock Performance -



Absolute Return	
1 Year	: 29.15%
3 Years	: 28.80%
5 Years	: 36.00%

Shareholding pattern	
Promoters	: 13.82%
FIIs	: 27.09%
DIIs	: 42.78%
Government	: 0.20%
Public	: 15,88%

Financial Summary

In INR cr.	FY26	FY27E	FY28E
Net Revenue	178650	184226	201781
Growth YOY%	*9.60%*	*3.12%*	*9.52%*
EBITDA	46602	85935	94,124
EBITDA %	*26.09%*	*46.65%*	*46.65%*
Adj PAT	30763	15950	17441
ROE %	31.11%	52.88%	48.44%
Adj EPS (INR)	76.17	39.50	43.19
EV/EBITDA(x)	8.99x	4.87x	4.46x

Prepared by – Kashish Kumari

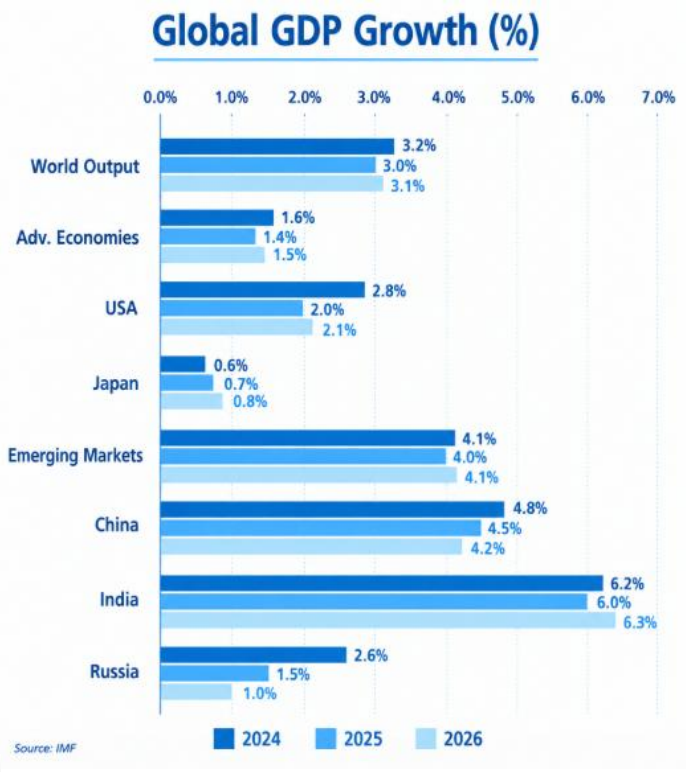
Economic analysis

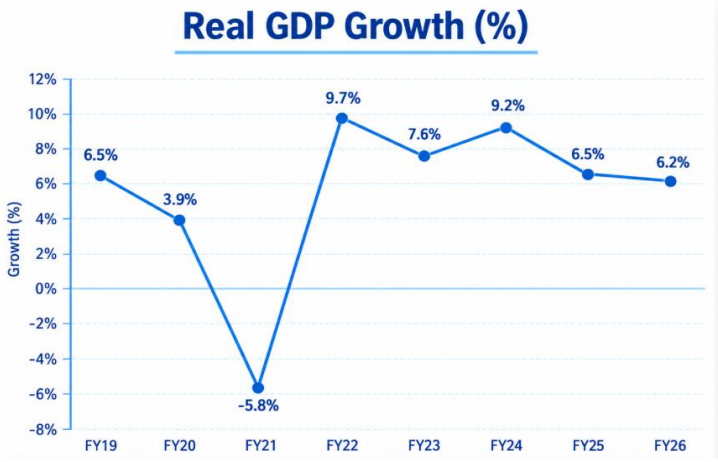
Global Economy

The global economy is expected to witness a **moderate slowdown**, with GDP growth easing from **3.5% in CY24 to 2.8% in CY25**, before improving slightly to **3.0% in CY26**. While **advanced economies** continue to face structural challenges such as elevated interest rates, ageing demographics and weak productivity, **emerging markets** remain the primary growth engine, supported by favourable demographics, infrastructure spending and digital transformation.

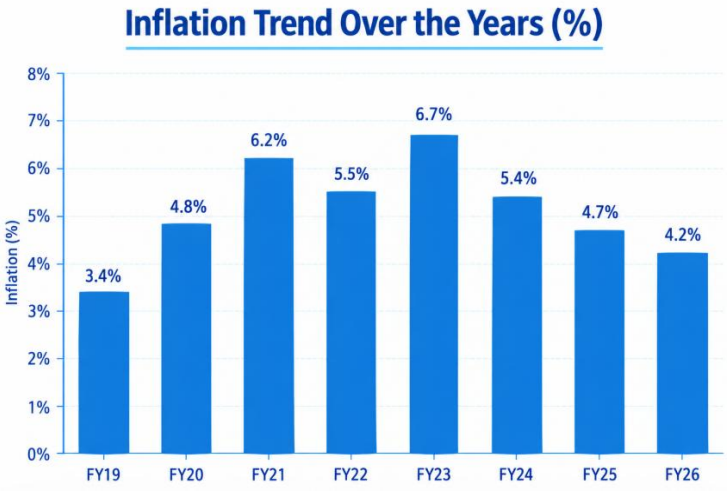
India is projected to remain the fastest-growing major economy, with GDP growth of **6.2% in CY25** and **6.0% in CY26**, significantly outperforming the global average of **2.8–3.0%**. This growth differential strengthens India's long-term consumption story, supports rising telecom data usage and creates a favourable demand environment for sectors linked to digital infrastructure.

However, **geopolitical tensions, global trade restrictions and inflationary pressures** continue to pose downside risks to economic activity. Companies with strong balance sheets, disciplined capital allocation and scalable digital infrastructure





Source:IM



Source:IMF

Indian Economy

India continues to demonstrate **strong macroeconomic resilience**, remaining one of the world's fastest-growing major economies despite a moderation in growth. **Real GDP growth is projected at 6.5% in FY25 and 6.2% in FY26**, following an exceptional **9.2% expansion in FY24**, reflecting a transition towards a more sustainable growth trajectory. Robust domestic consumption, continued infrastructure spending, rapid digitalisation and supportive government reforms continue to underpin India's long-term economic outlook.

At the same time, **inflation has moderated from 5.4% in FY24 to 4.7% in FY25 and is expected to ease further to 4.2% in FY26**, moving closer to the RBI's medium-term target. This improving inflation environment has enabled the RBI to begin monetary policy easing, supporting liquidity, consumer spending and private sector investment while maintaining macroeconomic stability.

Although external risks such as global trade tensions, geopolitical uncertainties and volatile commodity prices remain, India's strong domestic demand, favourable demographics and accelerating digital transformation provide a solid foundation for sustained economic expansion. These structural strengths are expected to support corporate earnings growth, capital expenditure and long-term investment opportunities across sectors, particularly in digital infrastructure and telecommunications.

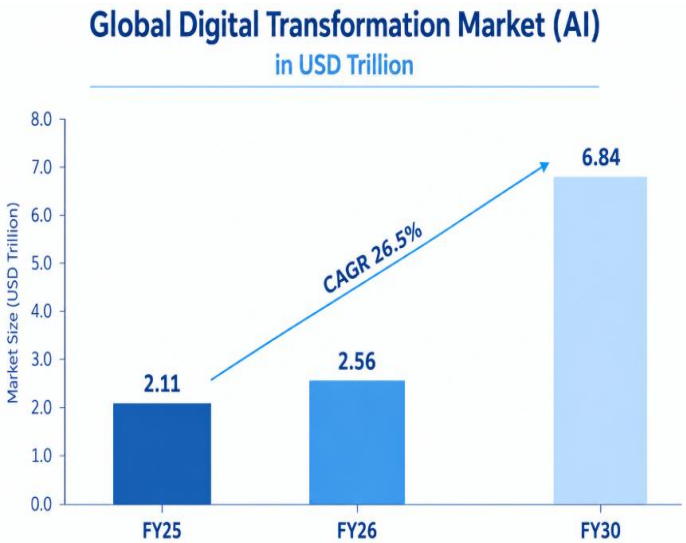
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IT Industry

Global IT Industry

The global IT industry continues to expand, driven by **AI adoption, cloud transformation, cybersecurity, data analytics, and digital technologies**. Global IT spending is projected to reach around **US$5.94 trillion by FY26**, reflecting continued enterprise investment in technology.

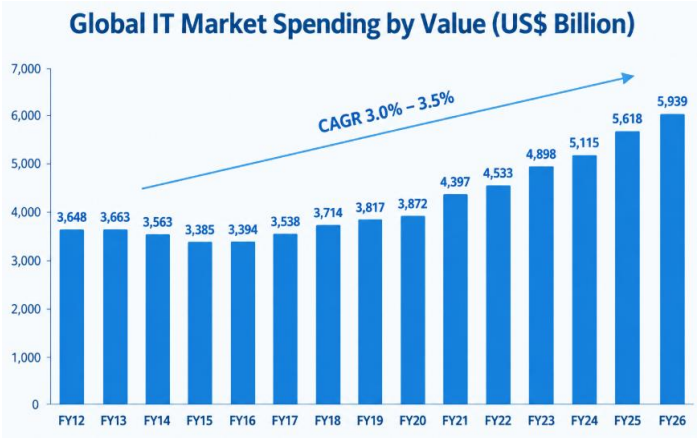
AI and digital transformation are becoming major growth drivers as businesses increasingly focus on automation, productivity, intelligent applications, and scalable cloud infrastructure. The rapid adoption of **Generative AI and AI-first solutions** is creating new opportunities across the technology services industry.Emerging markets such as **India** continue to strengthen their position as technology and delivery hubs, supported by skilled talent, cost advantages and growing digital capabilities.



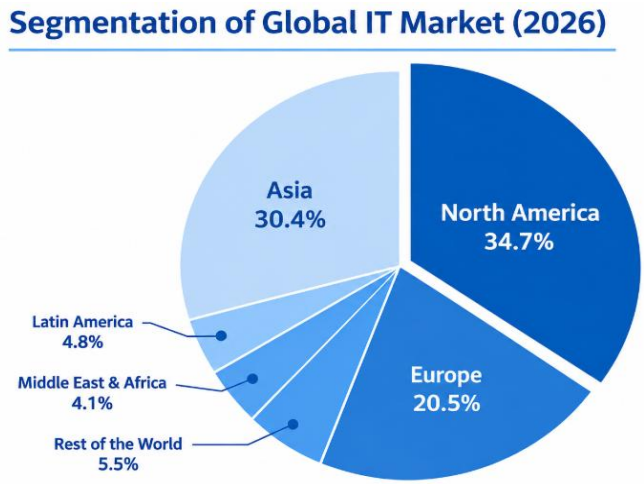
Source: Company Annual Report

The global AI-led digital transformation market is showing strong expansion, rising from **US$2.11 trillion in FY25 to US$2.56 trillion in FY26**, with the market projected to reach around **US$6.84 trillion by FY30**.

Key growth drivers include **Generative AI, cloud computing, data platforms, automation and enterprise digital transformation**.
Infosys is well positioned to benefit from this trend through its AI-first strategy, cloud capabilities, data services and enterprise transformation solutions.



source: Gartner Report on World IT Spending



source: Comapny annual report

Key Telecom Trends

• **AI-led transformation** is becoming a core technology priority, with enterprises increasing investments in **Generative AI, automation and intelligent applications**.

• **Cloud and data infrastructure** continue to gain importance as businesses modernise technology platforms and build scalable digital operations.

• Rising demand for **cybersecurity, digital engineering and cloud-native solutions** is supporting technology spending across industries.

• **India remains a major technology delivery hub**, supported by skilled talent, cost efficiency and strong digital capabilities.

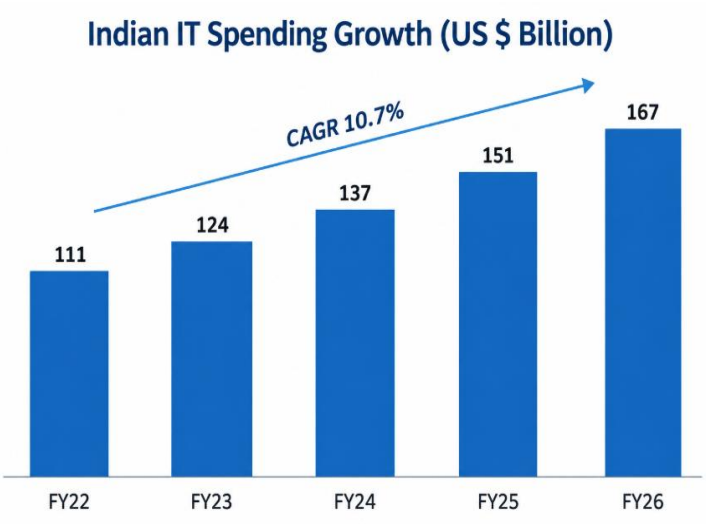
• Increasing **AI adoption and enterprise spending** are creating long-term growth opportunities for technology services companies such as **Infosys**.

IT Industry

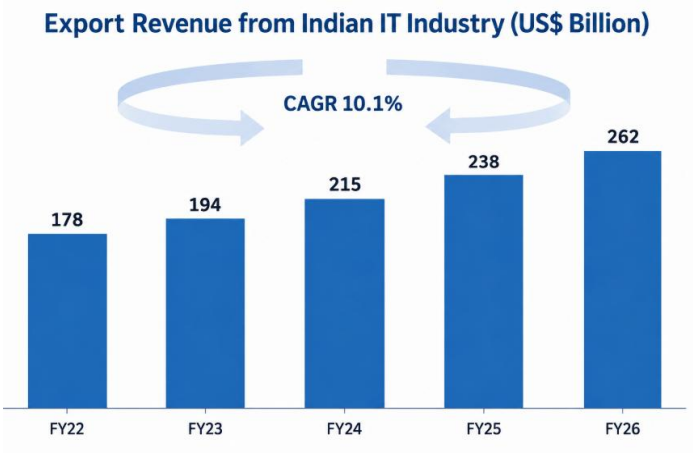
Indian IT Industry

The Indian IT industry continues to remain a key pillar of India's services economy, supported by **digital transformation, cloud adoption, AI, cybersecurity and enterprise technology spending**. Indian IT spending is estimated at around **US$167 billion in FY26**, increasing from US$111 billion in FY22, reflecting sustained technology investment.

India's technology ecosystem is benefiting from rising enterprise adoption of **Generative AI, automation, cloud platforms and data analytics**. The shift towards AI-led transformation is creating new opportunities for IT services companies with strong digital capabilities and global delivery networks.India also remains a major **global technology and export hub**, with IT export revenue projected at around **US$262 billion in FY26**, compared with US$178 billion in FY22. Strong global demand, skilled talent and cost-efficient delivery continue to support the sector's long-term competitiveness. The **AI-led digital transformation market** is expanding rapidly, increasing from approximately **US$2.11 trillion in FY25 to US$2.56 trillion in FY26**, with the market projected to reach around **US$6.84 trillion by FY30**. **Infosys is well positioned to benefit from these structural trends** through its AI-first strategy, Infosys Topaz, cloud capabilities, data and analytics services, cybersecurity and enterprise transformation solutions.



source: Infosys annual report



Source: TRAI, IBEF

India continues to demonstrate strong growth in technology spending, with **Indian IT spending reaching around US$167 billion in FY26**, up from US$111 billion in FY22. Growth is being driven by rising enterprise investments in **AI, cloud, cybersecurity, data analytics and digital transformation**, strengthening India's position as a leading global technology market.

Export Revenue from Indian IT Industry

India continues to demonstrate strong resilience in IT exports, with **export revenue reaching around US$262 billion in FY26**, compared with US$178 billion in FY22. Export growth remains supported by strong global demand for **AI, cloud, digital engineering, cybersecurity and business transformation services**, reinforcing India's position as a major global technology and delivery hub.

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Earnings Call Analysis

Q4FY26

Infosys reported **resilient performance in FY26**, with revenue reaching **₹1,78,650 crore**, representing **9.6% YoY growth** and **3.1% YoY growth in constant currency**. The company delivered a strong **adjusted operating margin of 21.0%**, while free cash flow stood at **₹43,075 crore**, representing **112.3% of net profit**.

Large deal momentum remained strong, with total large deal wins of **US$14.9 billion**, providing a strong foundation for future growth. Infosys also increased its **US$50 million+ client count to 88**, highlighting continued strength in large enterprise relationships.

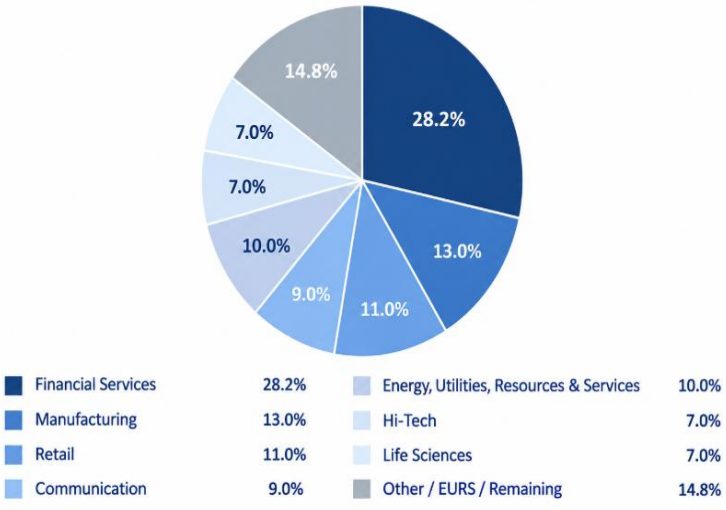
AI adoption remained a key growth driver, with AI-led programs deployed across **90% of the company's top 200 clients**. Infosys continues to scale its **AI-first strategy through Infosys Topaz**, supported by capabilities across AI, data, cloud, legacy modernization and responsible AI.

Shareholder returns remained strong, with a total dividend of **₹48 per share** and a **₹18,000 crore share buyback** completed during FY26. The company maintained a strong liquidity position with **₹43,075 crore of consolidated cash and investments**.

The Indian IT industry continues to remain a key growth engine for the technology ecosystem, supported by rising adoption of **AI, cloud computing, cybersecurity, data analytics and digital transformation**. Indian IT spending is estimated at around **US$167 billion in FY26**, compared with US$111 billion in FY22, reflecting sustained growth in enterprise technology investments.

The increasing adoption of **Generative AI, automation and AI-enabled enterprise applications** is creating new opportunities for technology service providers. Enterprises are increasingly investing in modern technology infrastructure to improve productivity, enhance customer experience and build scalable digital capabilities. **Infosys is well positioned to benefit from this growth**, with its AI-first strategy, Infosys Topaz, cloud and data capabilities, and strong global delivery network supporting clients in their digital transformation journey.

Revenue Breakup by Industry Segments



source: Infosysannual report

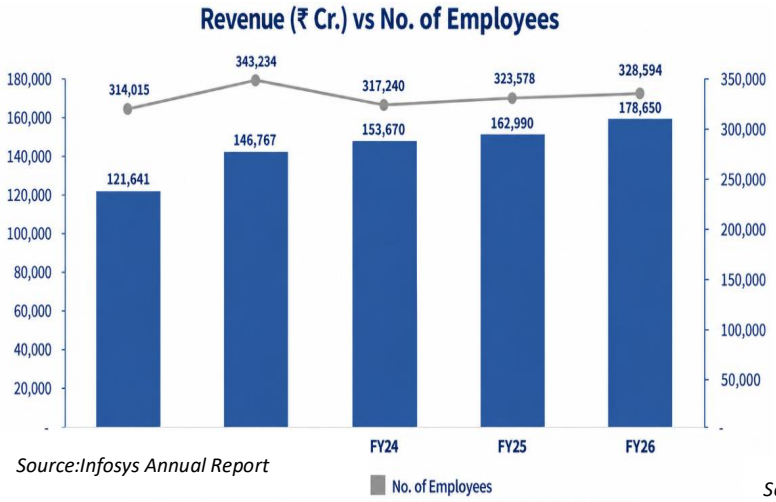
Management Outlook

Management remains **confident about Infosys' long-term growth prospects**, with **AI-led transformation** expected to remain the key driver of client spending. Infosys is positioning itself as a **navigator for clients' AI journeys**, helping enterprises ideate, plan and scale AI while building strong **data foundations, cloud capabilities and Responsible AI practices**.

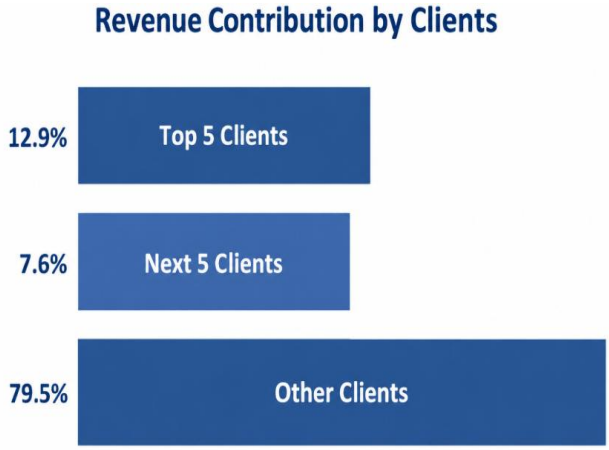
The company's **AI-first strategy** is built around six key areas — **strategy & engineering, data, process, legacy modernization, physical AI and trust** — together addressing an estimated **US$300 billion opportunity**. AI-led programs have already been deployed across **90% of the top 200 clients**, while Infosys continues to reskill its workforce and strengthen partnerships across the AI ecosystem.

Large deal momentum remains a key growth foundation, with Infosys securing **US$14.9 billion in large deals during FY26**. The company has also launched a focused growth program targeting large global enterprises where it currently has a smaller share of client spending, which management expects to develop into an important growth driver.

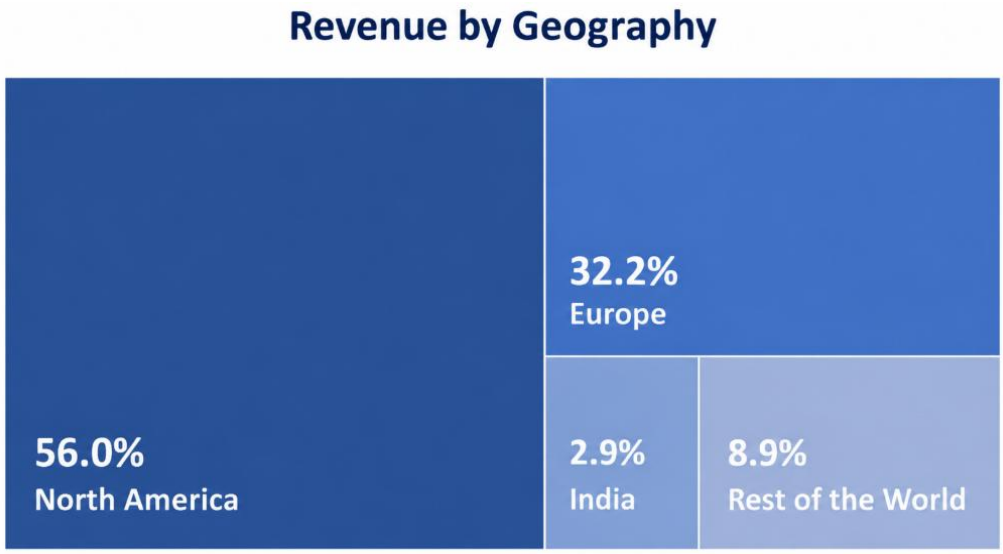
Business Outlook



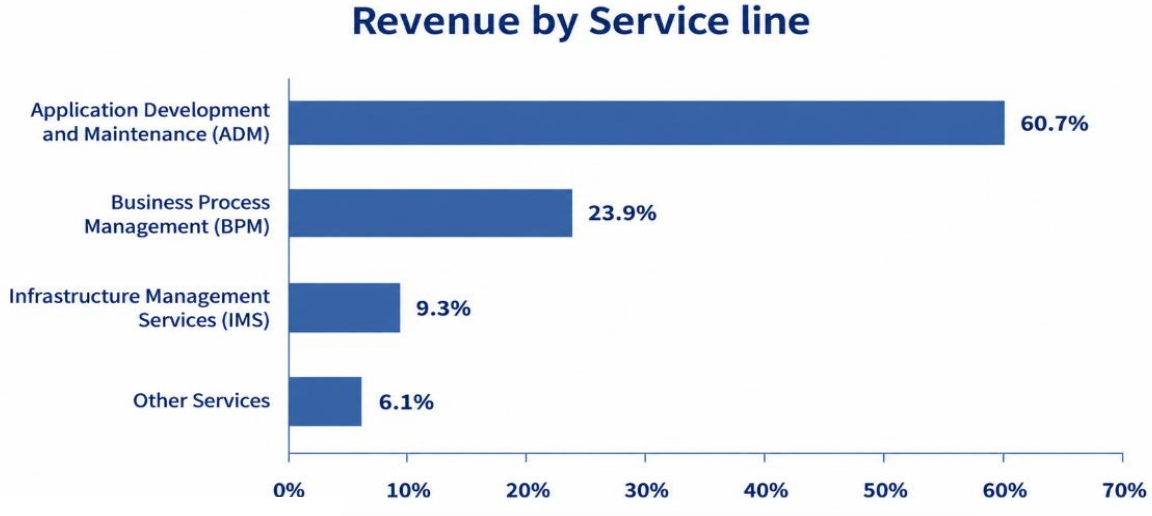
Source:Infosys Annual Report



Source:Infosys Annual Report



Source:Infosys Annual Report



Source:Infosys Annual Report

Leadership Analysis

Board Of Directors



Nandan M. Nilekani

Co-founder & Chairman of the Board – Infosys Limited

- Co-founder & Chairman of Infosys; also Founding Chairman of UIDAI (2009–2014).
- Co-founded and chairs EkStep Foundation, focused on technology-based learning and literacy.
- Co-chair of the G20 Task Force on Digital Public Infrastructure since 2023.
- Holds a Bachelor's degree from IIT Bombay.
- Recipient of major honors including Padma Bhushan, Joseph Schumpeter Prize, and multiple Lifetime Achievement Awards.



Nitin Paranjpe

Vice Chairman & Independent Director – Infosys

- Non-Executive Chairman, HUL and Chief People & Transformation Officer, Unilever PLC.
- Earlier served as COO, Unilever, overseeing global business results.
- Joined HUL in 1987; later became CEO, India & EVP, Unilever South Asia.
- Recipient of Forbes India CEO of the Year and CNBC-TV18 India Business Leader of the Year awards.
- Holds a Bachelor's in Mechanical Engineering and MBA in Marketing from Jamnalal Bajaj Institute of Management, Mumbai.



Salil Parekh

Chief Executive Officer & Managing Director – Infosys

- CEO of Infosys since January 2018, leading its digital, cloud and AI transformation.
- Drives strategy, execution and leadership development, with strong shareholder returns and client satisfaction.
- Experienced in business transformation, turnarounds and acquisitions.
- Earlier held senior leadership roles at Capgemini and Ernst & Young across global markets.
- Holds Master's degrees in Computer Science & Mechanical Engineering from Cornell University and B.Tech in Aeronautical Engineering from IIT Bombay.
- Serves on the boards of Advance CT and US-India Strategic Partnership Forum (USISPF).



Ashiss Kumar Dash

CEO Designate – Infosys

- Global Head managing a portfolio across 18+ industry verticals, with 30+ years of experience.
- Drives digital transformation, AI-led innovation, revenue growth and operational excellence.
- Contributes to global discussions on energy transition and sustainable development.
- Board member of Infosys Public Services and MRE Consulting LLC.
- Trustee of Infosys Foundation USA.
- Alumnus of IIT Kharagpur; completed leadership programs at Stanford University and London Business School.

Leadership Analysis



D. Sundaram

Lead Independent Director – Infosys

- Experience across corporate finance, business performance, governance, M&A, talent management and strategy.
- Spent 34+ years with HUL, including roles as CFO, Vice Chairman and CFO.
- Served as Vice Chairman & MD, TVS Capital Funds (2009–2023).
- Two-time recipient of CFO of the Year – FMCG Sector by CNBC TV18.
- Holds MMS, is a Fellow of the Institute of Cost Accountants of India, and completed Harvard Business School's AMP.
- Independent Director at Crompton Greaves Consumer Electricals, Zurich Kotak General Insurance, Credila Financial Services and



Bobby Parikh

Independent Director – Infosys

- Managing Partner, Bobby Parikh Associates, specializing in tax and regulatory advisory.
- 30+ years of experience across tax, regulatory matters, M&A and business restructuring.
- Co-founded and led BMR Advisors for over 12 years.
- Former CEO of Ernst & Young India and senior leader at Arthur Andersen.
- Graduate in Commerce from University of Mumbai and Chartered Accountant (1987).



Chitra Nayak

Independent Director – Infosys

- Over 25 years of experience in go-to-market, general management and operations leadership.
- Former COO at Comfy and Funding Circle, leading go-to-market strategy and business operations.
- Spent 8 years at Salesforce in senior leadership roles, including COO, Platform and SVP, Global Sales Development.
- Has served on boards of Vimo, Invitae, LifeWorks, Forward Air and Intercom.
- Co-founder of Neythri.org and Salesforce Women's Network, supporting women's leadership and professional growth.
- Holds an MBA with Honors from Harvard Business School, MS from Cornell University and B.Tech from IIT.



Govind Iyer

Independent Director – Infosys

- Retired Partner at Egon Zehnder, a global leadership advisory firm.
- Earlier worked with leading companies including Procter & Gamble, Coca-Cola and Heinz.
- Served on the Wharton Executive Education Advisory Board and is an active University of Pennsylvania alumnus.
- Founding Board Member and Chairperson of Social Venture Partners in India.
- Board member at Karmayogi Bharat and former Advisory Board member of AVPN.
- Holds a Bachelor of Engineering from Regional Engineering College, Trichy and an MBA from The Wharton School, University of Pennsylvania.



Helene Auriol Potier

Independent Director – Infosys

- Global leadership experience in digital technologies and telecommunications across the US, Europe, Africa and Asia.
- Spent 15 years at Nortel Networks in senior leadership roles, including VP Sales Mobile Division Worldwide.
- Former CEO, Microsoft Singapore and Managing Director, Artificial Intelligence Europe during her 10-year tenure at Microsoft.
- Served as Executive Vice President, International Business at Orange from 2018–2020.
- Currently serves as Independent Non-Executive Director at Accor, Randstad and Oddo BHF.
- Holds an MSc in Engineering from Telecom Paris and Executive MBA from INSEAD.



Diane Enberg Jurgens

Independent Director – Infosys

- Strategic Board Member and Technologist with global C-suite experience and expertise in business transformation.
- Currently serves on the boards of Standard Chartered and World 50.
- Former CIO of The Walt Disney Company (2020–2023), leading enterprise technology.
- Earlier served as CTO at BHP, driving innovation in AI, cybersecurity, autonomous systems and IIoT.
- Held senior leadership roles at General Motors, including CIO for GM International Operations and GM China.
- Holds an MBA from Seattle University and a Master's in Electrical Engineering from the University of Washington.

Leadership Analysis

Commentary

Infosys Limited is led by an experienced and globally diverse Board of Directors with expertise across technology, finance, global business, leadership, cybersecurity, risk management, sustainability, and corporate governance. The leadership is headed by **Mr. Nandan M. Nilekani (Chairman)** and **Mr. Salil Parekh (CEO & Managing Director)**, who guide the company's strategic direction, business growth, digital transformation, and operational performance.

The Board is further strengthened by **Independent Directors** including D. Sundaram, Nitin Paranjpe, Michael Gibbs, Bobby Parikh, Chitra Nayak, Govind Iyer, Helene Auriol Potier and Diane Enberg Jurgens. Their collective expertise covers technology, finance, global business, leadership, M&A, risk management, ESG, sales & marketing, and corporate governance.

Infosys has **six Board committees** — Audit, Nomination & Remuneration, Stakeholders Relationship, Risk Management, CSR and ESG — comprising only Independent Directors. The Board also maintains a separate Cybersecurity Risk Sub-committee under the Risk Management Committee. These governance mechanisms support **financial oversight, risk management, regulatory compliance, sustainability and stakeholder protection**.

Overall, Infosys' leadership structure emphasizes **independent oversight, responsible governance, technology expertise and long-term stakeholder value creation**, supporting the company's continued focus on digital, AI-led transformation and sustainable growth.

Shareholding Pattern

	Sep 23	Dec 23	Mar 24	June 24	Sep 24	Dec 24	Mar 25	June 25	Sep 25	Dec 25	Mar 26	June 26
Promoters	14.89%	14.78%	14.71%	14.61%	14.43%	14.43%	14.60%	14.61%	14.30%	14.52%	14.38%	13.82%
FIIs	33.60%	33.70%	34.11%	32.74%	33.28%	33.30%	32.89%	31.92%	30.08%	30.27%	28.45%	27.09%
DIIs	35.19%	35.51%	35.62%	37.28%	37.81%	38.19%	38.32%	39.39%	41.46%	41.08%	43.19%	42.78%
Government	0.19%	0.20%	0.21%	0.21%	0.20%	0.20%	0.21%	0.21%	0.20%	0.20%	0.20%	0.20%
Public	15.83%	15.52%	15.06%	14.91%	14.01%	13.62%	13.72%	13.62%	13.70%	13.69%	13.54%	15.88%
Others	0.31%	0.30%	0.29%	0.27%	0.27%	0.27%	0.26%	0.25%	0.24%	0.24%	0.23%	0.21%

Source: BSE

Commentary

Infosys' shareholding pattern reflects a diversified and institutionally driven ownership structure. Promoter holding has remained relatively stable with a gradual decline from 14.89% in Sep 2023 to 13.82% in Jun 2026. FII holding has decreased from 33.60% to 27.09%, while DII holding has increased significantly from 35.19% to 42.78%, indicating a growing share of domestic institutional ownership. Public shareholding has remained broadly stable at around 15%, while Government and Others holdings remain minimal. Overall, the ownership structure reflects strong institutional participation, with DIIs becoming an increasingly significant component of Infosys' shareholder base.

Financial Statement Analysis

Quarterly Income Statement Snapshot

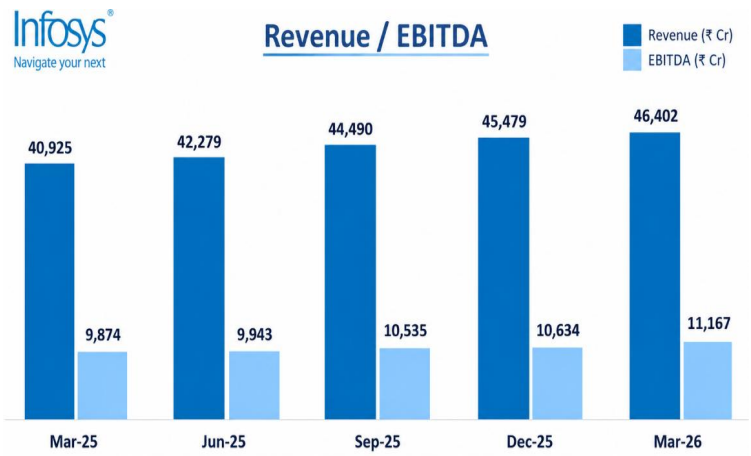
Particulars	Mar 25	June 25	Sep 25	Dec 25	Mar 26
Sales	40,925	42,279	44,490	45,479	46,402
% Growth QoQ	*2.8%*	*3.3%*	*5.2%*	*2.2%*	*2.0%*
Expenses	31,051	32,336	33,955	34,845	35,235
EBITDA	**9,874**	**9,943**	**10,535**	**10,634**	**11,167**
EBITDA Margins (%)	*24.1%*	*23.5%*	*23.7%*	*23.4%*	*24.1%*
Other Income	1,190	1,042	982	-150	1,159
Interest	102	105	106	100	105
Depreciation	1,299	1,140	1,182	1,155	1,424
Profit before tax	**9,663**	**9,740**	**10,229**	**9,229**	**10,797**
% Growth Y-O-Y	*9.1%*	*7.8%*	*12.2%*	*-4.5%*	*11.7%*
Tax	2,625	2,816	2,854	2,563	2,957
Net profit	**7,038**	**6,924**	**7,375**	**6,666**	**7,775**
Net profit Margins (%)	*17.2%*	*16.4%*	*16.6%*	*14.6%*	*16.8%*
% Growth Y-O-Y	*11.0%*	*8.6%*	*13.2%*	*-2.3%*	*10.5%*

Source: BSE

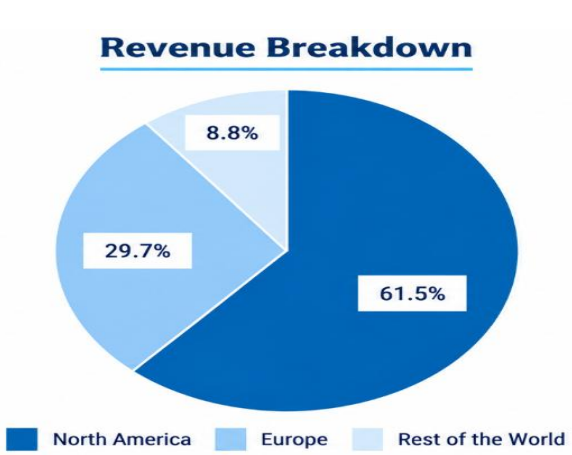
Commentary

Infosys delivered a steady operating performance over the last five quarters, with Sales increasing from ₹40,925 Cr in Mar'25 to ₹46,402 Cr in Mar'26. EBITDA also improved from ₹9,874 Cr to ₹11,167 Cr, while the EBITDA margin remained broadly stable at around 24%, reflecting consistent operating efficiency.

Net Profit increased from ₹7,038 Cr in Mar'25 to ₹7,775 Cr in Mar'26, despite fluctuations during the period. The company maintained healthy profitability, with Net Profit Margin at 16.8% in Mar'26. Overall, the results indicate steady revenue growth, resilient margins and improving profitability, supporting Infosys' continued focus on sustainable business growth.



Source:CompanyQuarterly Data



Source: Airtel Q1 FY26 Quarterly Report

Financial Statement Analysis

Yearly Income Statement Snapshot

Particulars	2022 (Audited)	2023 (Audited)	2024 (Audited)	2025 (Audited)	2026 (Audited)
Revenue from Operations	**121,641**	**146,767**	**153,670**	**162,990**	**178,650**
Other Income, net	2,295	2,701	4,711	3,600	4,322
Total Income	**123,936**	**149,468**	**158,381**	**166,590**	**182,972**
Expenses	90,150	111,637	117,245	123,754	136,370
Expenses as % of Total Income	*73%*	*75%*	*74%*	*74%*	*75%*
EBITDA	**33,786**	**37,831**	**41,136**	**42,836**	**46,602**
EBITDA Margins (%)	*27%*	*25%*	*26%*	*26%*	*25%*
Depreciation and Amortisation	3,476	4,225	4,678	4,812	4,902
EBIT	**30,310**	**33,606**	**36,458**	**38,024**	**41,700**
EBIT Margins (%)	*24%*	*22%*	*23%*	*23%*	*23%*
Finance Costs	200	284	470	416	416
Profit before exceptional items	30,110	33,322	35,988	37,608	41,284
Exceptional items	-	-	-	-	1,289
Profit before Tax	**30,110**	**33,322**	**35,988**	**37,608**	**39,995**
Tax (Current + Deferred)	7,964	9,214	9,740	10,858	10,521
Net Profit	**22,146**	**24,108**	**26,248**	**26,750**	**29,474**
Net Profit Margins (%)	*18%*	*16%*	*17%*	*16%*	*16%*
% Growth Y-O-Y	*8%*	*9%*	*9%*	*2%*	*10%*

Source: BSE

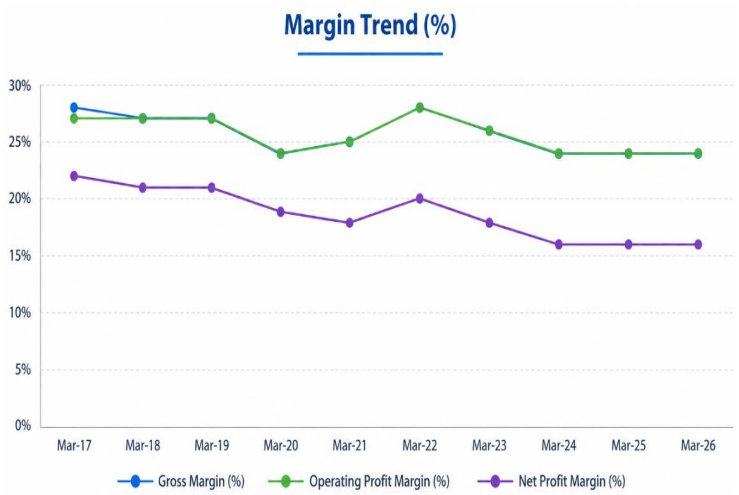
Commentary

Infosys has demonstrated **steady financial growth over the past decade**, supported by consistent revenue expansion and stable operating performance. Revenue increased from **₹62,441 Cr in FY17 to ₹1,78,650 Cr in FY26**, while EBITDA increased from **₹17,079 Cr to ₹42,280 Cr** during the same period. The company maintained an **EBITDA margin of approximately 24% in FY26**, reflecting sustained operating efficiency.

Profitability has also remained strong over the period. **Net Profit increased from ₹13,489 Cr in FY17 to ₹29,474 Cr in FY26**, supported by revenue growth and improved operating performance. In FY26, Infosys reported a **Net Profit Margin of approximately 16%**, indicating continued profitability despite changes in operating costs and business conditions.

Business Segment Revenue Contribution in FY26:

1. Financial Services – 27.9%
2. Manufacturing – 16.3%
3. Retail – 13.5%
4. Communication – 12.2%
5. Energy, Utilities, Resources & Services – 13.3%
6. Hi-Tech – 7.8%
7. Life Sciences – 6.9%
8. Others – 2.7%



Source:CompanyAnalysis

Financial Statement Analysis

Balance Sheet Snapshot

Particulars	2022	2023	2024	2025	2026
Equity Share Capital	2,098	2,069	2,071	2,073	2,024
Other Equity	73,252	73,338	86,045	93,745	90,828
Non-Controlling Interest	386	388	345	385	445
Total Shareholders' Equity	75,736	75,795	88,461	96,203	93,297
Total Non-current Liabilities	8,546	10,835	10,559	9,850	10,348
Total Current Liabilities	33,603	39,186	38,794	42,850	52,322
TOTAL EQUITY & LIABILITIES	**117,885**	**125,816**	**137,814**	**148,903**	**155,967**

Particulars	2022	2023	2024	2025	2026
Total Non-current Assets	50,700	54,935	48,382	51,804	52,478
Total Current Assets	67,185	70,881	89,432	97,099	103,489
TOTAL ASSETS	**117,885**	**125,816**	**137,814**	**148,903**	**155,967**

Source: BSE

Fixed Asset Analysis

Particulars	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Revenue	121,641	146,767	153,670	162,990	178,650
Gross Block	29,375	30,089	30,587	31,290	32,918
Accumulated Depreciation	16,300	16,743	18,217	19,512	20,267
Net Fixed Asset	13,075	13,346	12,370	11,778	12,651
Change in Revenue	21,169	25,126	6,903	9,320	15,660
Change in Gross Block	2,002	714	498	703	1,628
Change in Revenue / Change in Gross Block	10.57x	35.19x	13.86x	13.25x	9.62x

Source: BSE

Commentary

Over FY22–FY26, **Infosys has steadily expanded its revenue while maintaining a growing fixed asset base**. Revenue increased from ₹121,641 Cr in FY22 to ₹178,650 Cr in FY26, while Gross Block rose from ₹29,375 Cr to ₹32,918 Cr. Net Fixed Assets remained broadly stable, moving from ₹13,075 Cr to ₹12,651 Cr despite rising depreciation. The **Change in Revenue / Change in Gross Block** ratio remained positive throughout, ranging from 9.62x to 35.19x, indicating that revenue growth has generally been higher than the incremental investment in gross fixed assets. Overall, the trend reflects a **relatively asset-light business model**, where Infosys continues to generate significant revenue growth without a proportionate increase in fixed asset investment.

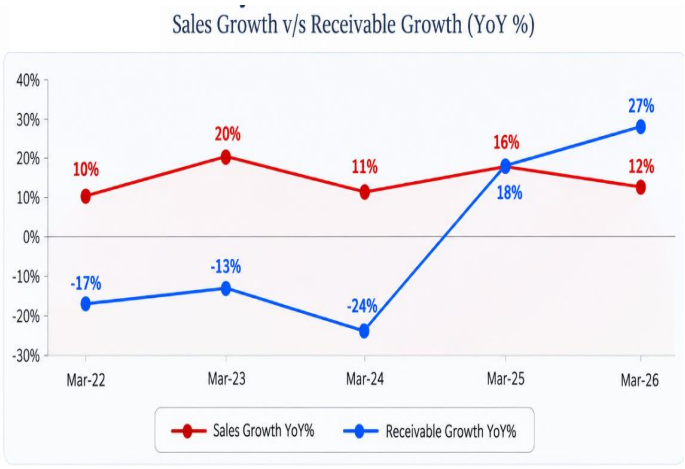
Academic Research Project- Not a Recommendation

Financial Statement Analysis

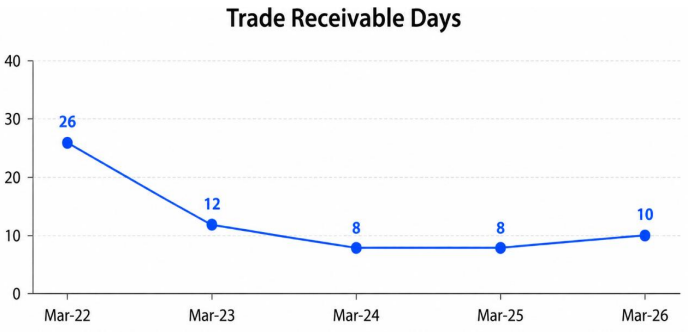
Trade Receivables Analysis

Particulars	2022 Audited	2023 Audited	2024 Audited	2025 Audited	2026 Audited
Sales (Revenue from Operations)	121,641	146,767	153,670	162,990	178,650
Sales Growth YoY %	–	*20%*	*5%*	*6%*	*10%*
Trade receivables	4,134	3,865	3,956	4,164	4,744
Receivables Growth (YoY %)	–	*-7%*	*2%*	*5%*	*14%*
Receivables as % of Revenue	3%	3%	3%	3%	3%
Receivable Days	12	10	9	9	10
Receivable turnover	31x	38x	39x	39x	38x

Source: Company Annual Report



Source: Company Annual Report



Source:Company Annual Report

Peer Analysis

Trade Receivable Days – Peer Comparison			
Company	**Mar-24**	**Mar-25**	**Mar-26**
Infosys	9	8	10
TCS	81	84	93
HCLTech	92	105	89
Wipro	47	48	54
LTIMindtree	59	56	64
Tech Mahindra	82	81	86
Persistent Systems	62	82	83
Median	**62**	**81**	**64**

Source:Company Annual Report

Commentary

Over the past five years, **Infosys has demonstrated consistent revenue growth while maintaining strong working capital discipline**. Revenue increased from ₹121,641 crore in FY22 to ₹178,650 crore in FY26, reflecting steady business expansion. During the same period, trade receivables increased from ₹4,134 crore to ₹4,744 crore, while remaining around 3% of revenue, highlighting the company's controlled receivable position despite business growth.

The company's **receivable days improved significantly**, declining from 12 days in FY22 to 9 days in FY24 and FY25, before increasing slightly to 10 days in FY26. This indicates efficient collection cycles and effective cash conversion. Additionally, receivable turnover remained strong, increasing from 31x in FY22 to 39x in FY24–FY25 and standing at 38x in FY26.

While sales growth remained positive throughout the period, receivable growth declined by 7% in FY23 before increasing in subsequent years. Even with the rise in receivables, their proportion to revenue remained stable at around 3%, suggesting that Infosys maintained disciplined control over customer outstanding balances.

Overall, Infosys's receivable management reflects efficient working capital management. The combination of steady revenue growth, low receivable days and high receivable turnover supports strong cash-flow conversion and demonstrates the relatively low working-capital intensity of its IT services business.

Financial Statement Analysis

Cash Flow Statement

Particulars	2022 Audited	2023 Audited	2024 Audited	2025 Audited	2026 Audited
Operating Activity					
Profit from Operations	34,392	36,754	43,583	53,209	62,336
Receivables	169	374	-819	-1,210	-232
Inventory	-11	-2	0	0	0
Payables	1,472	-1,103	809	-192	1,184
Other WC items	560	78	1,386	1,332	1,989
Working Capital Changes	**2,189**	**-653**	**1,557**	**-70**	**2,940**
Direct Taxes	0	-189	338	534	384
Other Operating Items	0	0	0	0	0
Cash from Operating Act.	**36,754**	**43,583**	**53,209**	**62,336**	**74,931**
Investing Activity					
Fixed Assets Purchased	-34,859	-24,769	-26,881	-24,878	-26,812
Fixed Assets Sold	1,094	83	111	722	410
Investments purchased	-9	-2,549	-23	-48	-8,347
Investments sold	3,120	0	2,870	971	9
Interest received	138	118	764	311	225
Dividends Received	45	1,518	52	140	377
Invest in subsidiaries	0	0	-14,458	-2,430	-1,384
Loans to subsidiaries	-5,805	-4,791	-2,012	-2,350	225
Investment in group cos	0	0	-30	-879	0
Acquisition of Companies	-2,654	-1,183	0	0	0
Other Investing Items	5,580	1,587	-9,931	-9,931	-7,989
Cash from Investing Act.	**-33,170**	**-30,006**	**-34,877**	**-41,453**	**-41,286**
Financing Activity					
Proceeds from Shares	5,223	5,224	1	1	15,696
Proceeds from Borrowings	17,144	5,738	1,785	3,444	3,919
Repayment of Borrowings	-11,139	-13,782	-4,030	-2,783	-24,184
Interest Paid	-10,443	-3,488	-9,981	-11,440	-8,098
Dividends Paid	-90	-1,763	-2,276	-4,832	-9,280
Financial Liabilities	-4,984	-4,450	-4,862	-5,344	-5,424
Other Financing Items	0	0	0	0	0
Cash from Financing Act.	**-6,289**	**-12,500**	**-19,184**	**-20,755**	**-27,350**
Net Cash Flow	**-704**	**1,076**	**-852**	**128**	**6,295**
EBITDA	**34,700**	**43,799**	**50,122**	**52,593**	**70,264**
CFO/EBITDA	**105%**	**100%**	**105%**	**118%**	**106%**

Source: BSE

Commentary

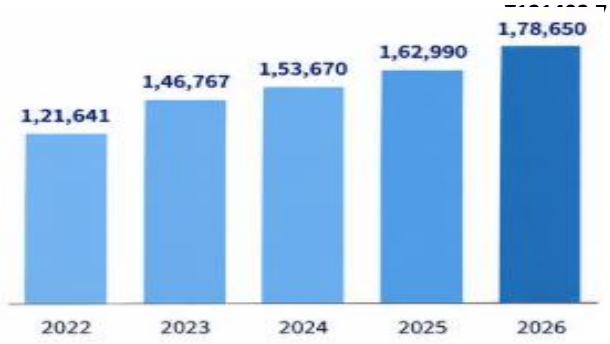
Over the past five years, **Infosys has maintained strong operating cash flow generation**, with Cash from Operating Activities increasing from ₹36,754 crore in FY22 to ₹74,931 crore in FY26. EBITDA also rose from ₹34,700 crore to ₹70,264 crore, reflecting sustained improvement in operating performance. Cash flow from investing activities remained consistently negative, mainly due to continued investments in fixed assets and other investments. Financing cash flows were also negative across the period, primarily reflecting repayments, interest payments and dividends.The company's **CFO/EBITDA ratio remained strong**, ranging from 100% to 118%, indicating healthy conversion of operating earnings into cash. Net cash flow was negative in FY22 and FY24 but turned positive in FY23, FY25 and FY26, reaching ₹6,295 crore in FY26.

Academic Research Project- Not a Recommendation

Financial Statement Analysis

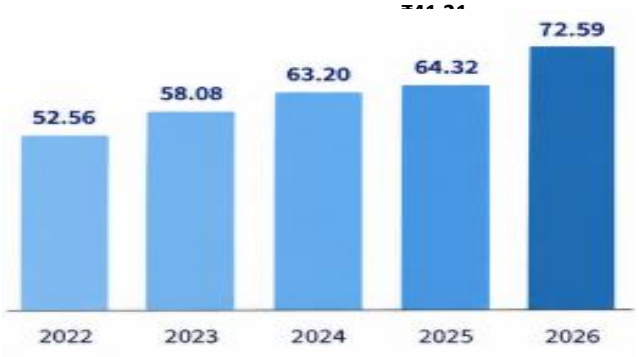
Financial Summary

Revenue From Operations (in ₹ Cr.)



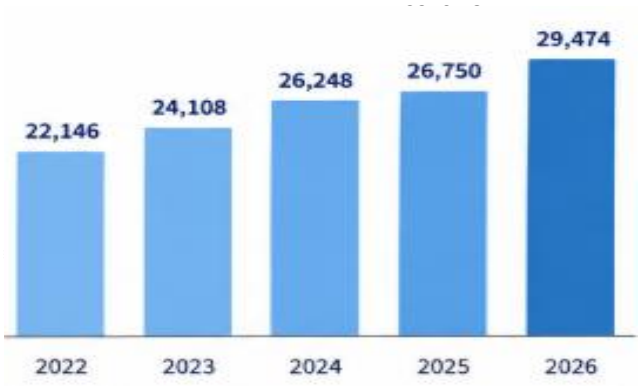
Source: Company Annual Report

EPS (in ₹)



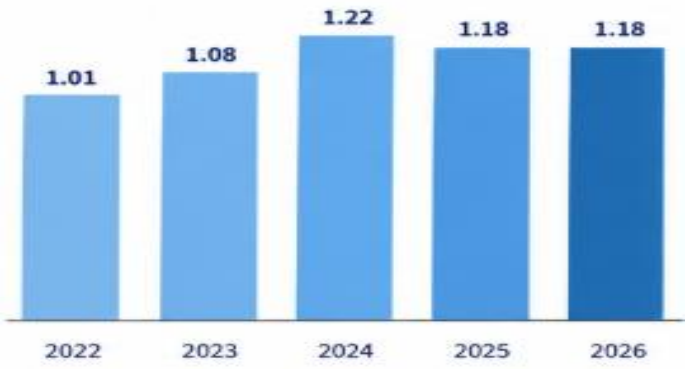
Source: Company Annual Report

Net Profit (in ₹ Cr.)



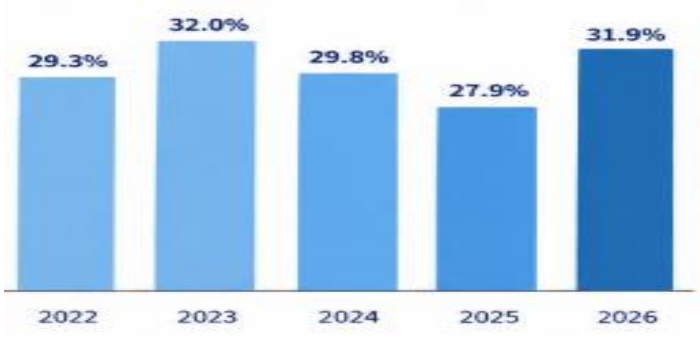
Source: Company Annual Report

Asset Turnover Ratio



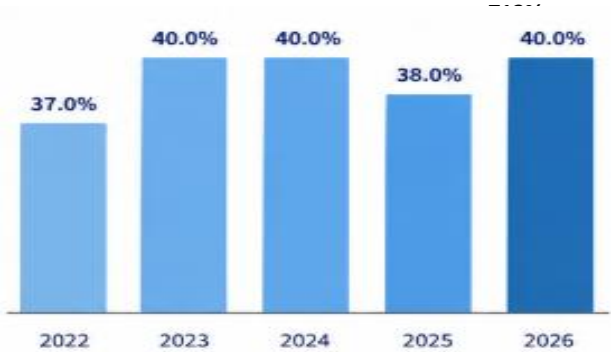
Source: Company Annual Report

Return on Equity



Source: Company Annual Report

Return On Capital



Source: Company Annual Report

Financial Statement Analysis

DU PONT Analysis

Return on Equity	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Profit (₹ Cr.)	22,146	24,108	26,248	26,750	29,474
Revenue (₹ Cr.)	121,641	146,767	153,670	162,990	178,650
Net Profit Margin (A)	**5.493**	**6.088**	**5.855**	**6.093**	**6.061**
Total Assets (₹ Cr., incl. Mar-20=91,800 for averaging)	117,885	125,816	137,814	148,903	155,967
Average Total Assets (₹ Cr.)	112,698	121,272.5	131,205	142,461.5	151,881
Asset Turnover Ratio (B)	**0.197**	**0.199**	**0.200**	**0.188**	**0.194**
Shareholders' Equity (₹ Cr.: Equity Capital + Reserves)	75,350	75,407	88,116	95,818	92,852
Average Shareholders' Equity (₹ Cr.)	75,850.5	75,378.5	81,761.5	91,967	94,335
Equity Multiplier (C)	**1.485791129**	**1.60884735**	**1.604728387**	**1.549050203**	**1.610017491**
Return on Equity (A × B × C)	**1.603694109**	**1.947067135**	**1.879490958**	**1.772266139**	**1.893782795**

Source: Company Annual Report

Peer Analysis

Company	Net Profit Margin (A)	Asset Turnover Ratio (B)	Equity Multiplier (C)	Return on Equity (A*B*C)
Infosys	**16.50%**	**1.17**	**1.62**	**31.24%**
TCS	18.52%	1.57	1.68	48.97%
HCL Tech	12.80%	1.19	1.52	23.00%
Wipro	14.32%	0.69	1.58	15.57%
LTIMindtree	11.78%	1.25	1.45	21.33%
Tech Mahindra	8.46%	1.21	1.65	16.87%
Persistent Systems	12.65%	1.47	1.42	26.35%
Median	**12.80%**	**1.21**	**1.58**	**23.00%**

Source: Company Annual Report

Commentary

Infosys' Return on Equity (ROE) stood at **31.24% in FY26**, reflecting strong profitability and efficient utilization of shareholders' funds. The company reported a **Net Profit Margin of 16.50%**, supported by sustained revenue growth and healthy operating performance. Infosys' ROE remained above the peer median of **23.00%**, indicating effective conversion of business performance into shareholder returns.

Operational efficiency remained strong, with the **Asset Turnover Ratio at 1.17x**, reflecting efficient utilization of the asset base to generate revenue. The **Equity Multiplier stood at 1.62x**, indicating a moderate level of financial leverage. Overall, the combination of healthy profitability, efficient asset utilization and moderate leverage supported Infosys' strong ROE and reflects a balanced financial structure.

Financial Statement Analysis

Capital Allocation Ratios

Return on Capital Employed

Particulars	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
NOPAT	20,605	22,359	23,155	24,485	26,726
Revenue	121,641	146,767	153,670	162,990	178,650
NOPAT Margin (A)	**16.9%**	**15.2%**	**15.1%**	**15.0%**	**15.0%**
Revenue	121,641	146,767	153,670	162,990	178,650
Average Capital Employed	53,106	51,048	55,131	62,943	58,610
Capital Turnover Ratio (B)	**2.29**	**2.88**	**2.79**	**2.59**	**3.05**
Return On Capital Employed (A*B)	**38.8%**	**43.8%**	**42.0%**	**38.9%**	**45.6%**

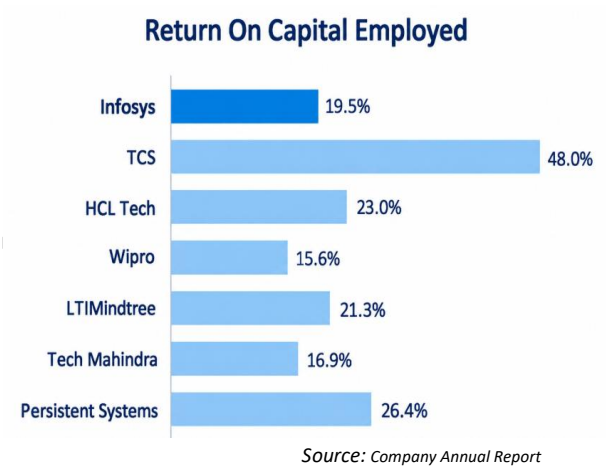
Source: Company Annual Report

Return On Assets

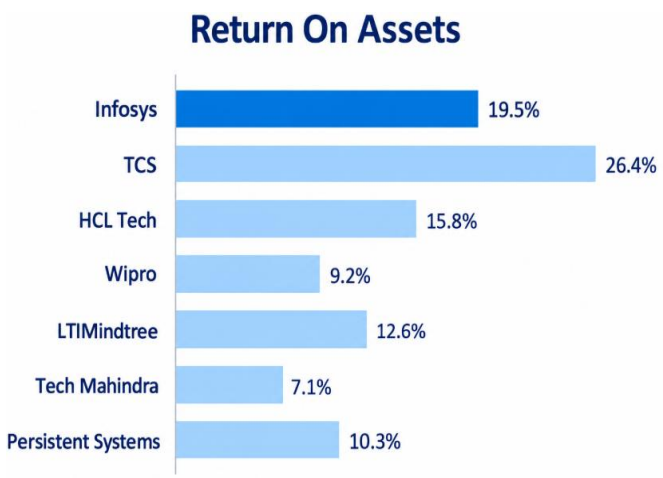
Particulars	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Profit	22,146	24,108	26,248	26,750	29,474
Revenue	121,641	146,767	153,670	162,990	178,650
Net Profit Margin (A)	**18.2%**	**16.4%**	**17.1%**	**16.4%**	**16.5%**
Revenue	121,641	146,767	153,670	162,990	178,650
Average Total Assets	112,698	121,272.5	131,205	142,461.5	151,881
Asset Turnover Ratio (B)	**1.08**	**1.21**	**1.17**	**1.14**	**1.18**
Return on Assets (A*B)	**19.7%**	**19.8%**	**20.0%**	**18.7%**	**19.5%**

Source: Company Annual Report

Peer Analysis



Source: Company Annual Report



Source: Company Annual Report

Financial Statement Analysis

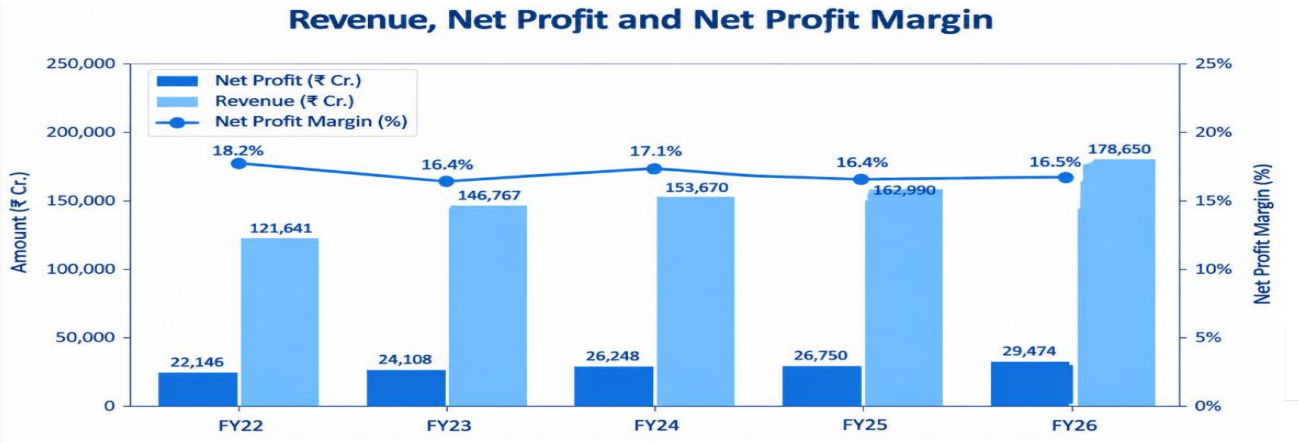
CapitalAllocationRatios

Commentary

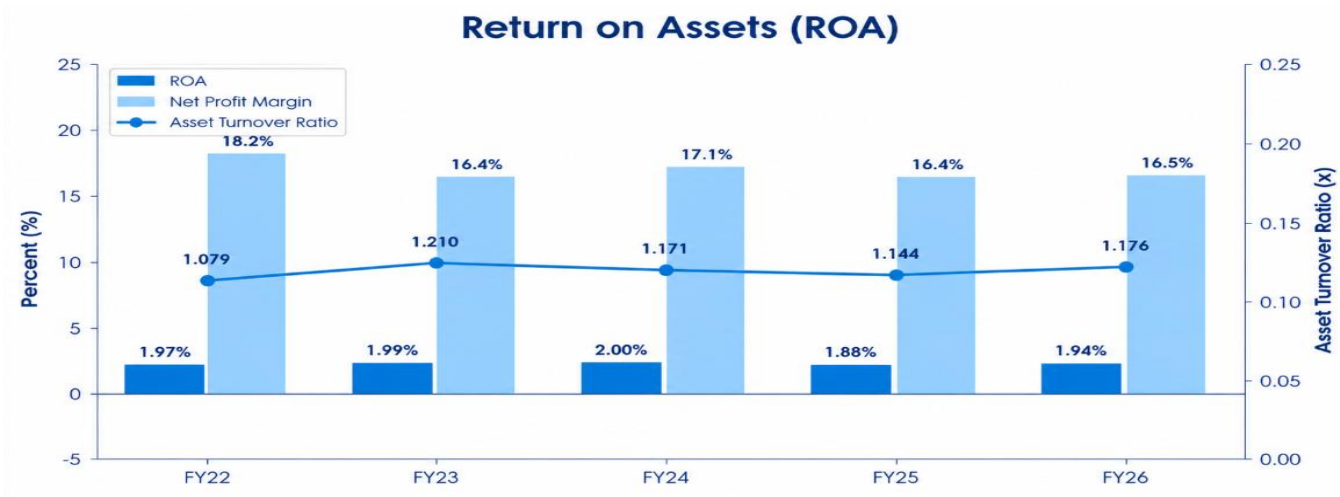
Infosys' ROCE remained strong throughout the analysis period, increasing from **38.8% in FY22 to 45.6% in FY26**, despite some fluctuations in between. The improvement in FY26 was primarily supported by a healthy **NOPAT Margin of 15.0%** and an increase in **Capital Turnover Ratio to 3.05x**, indicating efficient utilization of capital employed to generate revenue.

ROA also remained stable over the period, ranging between **18.7% and 20.0%**, with **19.5% in FY26**. The stable ROA reflects consistent profitability and efficient utilization of the company's asset base, while the Asset Turnover Ratio remained around **1.08x–1.21x**.

Going forward, Infosys should focus on maintaining strong operating margins and improving capital efficiency. Continued growth in revenue, disciplined capital allocation and efficient utilization of assets can support sustained ROCE and ROA while strengthening long-term financial performance.



Source: *Company Annual Report*



Source: *Company Annual Report*

Financial Statement Analysis

Capital Allocation Ratios

Return on Incremental Invested Capital

	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net income (₹ Cr.)	16,377	25,783	26,081	38,700	50,222
Capital Employed (₹ Cr.)	204,776	260,690	270,161	301,589	304,673

Commentary

Over the last five years, **Infosys has generated a Return on Incremental Invested Capital (ROIC) of ~7.33%**, indicating that the company has earned a moderate return on the additional capital deployed. Infosys generated **cumulative net income of ₹1,28,726 crore** against **incremental capital deployed of ₹99,897.50 crore**. The company's **reinvestment rate of ~63.56%** reflects that a significant portion of its internally generated earnings has been redeployed into the business to support future growth.

However, the **Net Income vs. Capital Employed** trend shows that Capital Employed has increased at a faster pace than Net Income over the period. Net Income increased from **₹22,146 crore in FY22 to ₹29,474 crore in FY26**, while Capital Employed remained substantially higher and expanded over the period. This indicates that Infosys has been deploying significant capital relative to the growth in earnings, making efficient utilisation of the existing capital base important for improving future returns.

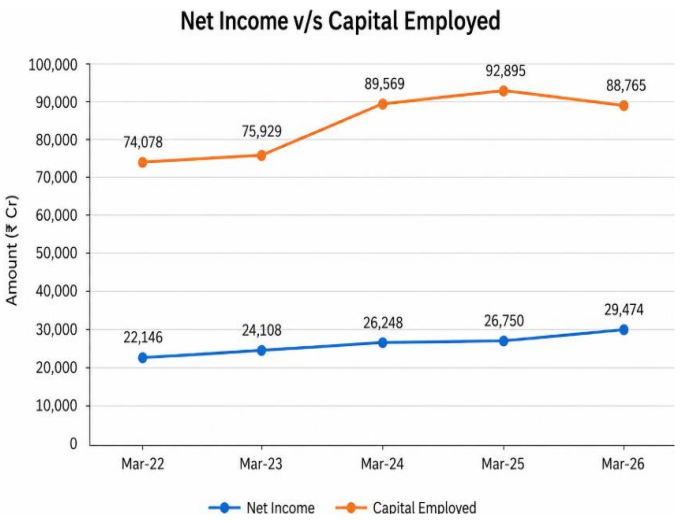
The company's **Intrinsic Compounding Rate of ~4.66%** reflects the combination of its reinvestment rate and ROIC. Going forward, stronger earnings growth along with improved returns on incremental capital could support better compounding of shareholder value.

The **stock price CAGR of ~23.96%** over the period indicates strong historical appreciation in the share price. Going forward, sustaining earnings growth, improving capital efficiency and generating higher returns on incremental investments will remain important factors for shareholder value creation. **Overall, Infosys's high reinvestment rate combined with a 7.33% ROIC reflects a significant commitment to reinvesting capital for future growth. The key focus going forward will be on improving the productivity of deployed capital and translating these investments into stronger earnings and sustainable value creation.**

ROIIC Profiling

Particulars	Value
Cumulative Net Income (A) (Net Profit for FY22–FY26)	1,28,726.00 Cr
Incremental Capital Deployed (B) (Capital Employed in FY26 – FY22)	99,897.50 Cr
Reinvestment Rate (B/A)	63.56%
Change in Net Income (C) (FY26 Net Profit – FY22 Net Profit)	7,328.00 Cr
ROIC (C/B) (Return on Incremental Invested Capital)	7.33%
Intrinsic Compounding Rate (Reinvestment rate × ROIC)	4.66%
Stock Price (5 Year CAGR) (Mar-22 to Mar-26)	23.96%

Source: Company Annual Report



Source: Company Annual Report

Qualitative Analysis

SWOT Analysis

Strengths

Market Leadership
Infosys is a leading global IT services company with a strong brand, global delivery model and presence across 59 countries.

Strong AI & Digital Capabilities
Infosys has established strong capabilities in AI, cloud, cybersecurity and digital transformation, with 400+ generative AI projects delivered through Infosys Topaz.

Diversified Business Portfolio
The company serves multiple industries including Financial Services, Retail, Manufacturing, Communication, Energy & Utilities, Hi-Tech and Life Sciences, reducing dependence on a single sector.

Strong Brand & Intellectual Property
Infosys has a strong global brand, 973 patents (granted/pending) and 900+ trademarks, supporting differentiation and innovation.

Strong Global Delivery Model
Its distributed agile global delivery model, industry expertise, established platforms and ability to scale are identified as key differentiators.

Weaknesses

Geographical Concentration
Infosys remains significantly dependent on international markets, with North America contributing 56.1% and Europe 32.1% of revenue **in** FY26, creating exposure to economic and business conditions in these regions.

Talent & Skill Dependence
The IT services business requires highly skilled digital and technology professionals, while the industry faces intense competition for niche digital talent.

Exposure to Global Economic Uncertainty
Changes in global economic conditions, geopolitical situations and enterprise technology spending can affect client demand and business growth.

High Competitive Pressure
Infosys operates in a highly competitive IT services market, including competition from established players and newer companies specializing in niche technologies.

Regulatory & Cybersecurity Risks
The company faces risks from evolving regulations, immigration rules, cybersecurity matters and other compliance requirements across its global operations.

Qualitative Analysis

SWOT Analysis

Opportunities

AI & Agentic AI Adoption
Growing enterprise adoption of AI, generative AI and agentic AI creates opportunities for Infosys to expand AI-led consulting, automation and transformation services.

Cloud & Data Transformation
Increasing demand for cloud, data and AI-ready infrastructure provides opportunities for Infosys Cobalt and its data and analytics capabilities.

Enterprise Digital Transformation
Clients are increasingly reimagining legacy systems, processes and operating models, creating demand for digital transformation, modernization and automation services.

Large Deal Growth
Infosys continues to secure large transformation contracts, with US$14.9 billion in large deals in FY26, providing a foundation for future revenue growth.

AI Partnership Ecosystem
Partnerships across cloud, AI models, data, enterprise applications, security and physical AI can help Infosys deliver integrated AI solutions at scale.

Threats

ntense Industry Competition
The IT services market faces intense competition, including emerging players focused on niche technologies, which can create pressure on pricing and growth.

Rapid Technological Changes
The fast evolution of AI, cloud and other technologies requires continuous investment in new capabilities, platforms and employee skills.

Talent & Skill Shortage
The industry faces competition for specialized digital talent, particularly as demand for AI and other niche technology skills increases.

Cybersecurity & Data Privacy Risks
Increasing adoption of AI, cloud and digital technologies raises the importance of cybersecurity, privacy, governance and responsible AI controls.

Global Economic & Geopolitical Uncertainty
Uncertainty in the global environment can influence enterprise technology spending, while clients continue to focus on cost optimization and efficiency.

Peer Analysis

Infosys PRICE ACTION

Parameters	Range
Volume Traded	65,69,826 Shares
Current Price	₹1,060.00
Face Value	₹5
Previous Value	₹1,077.00
Open Price	₹1,083.00
Today's Low / High	₹1,053.50 – ₹1,085.10
52 Week Low / High	₹982.40 – ₹1,728.00

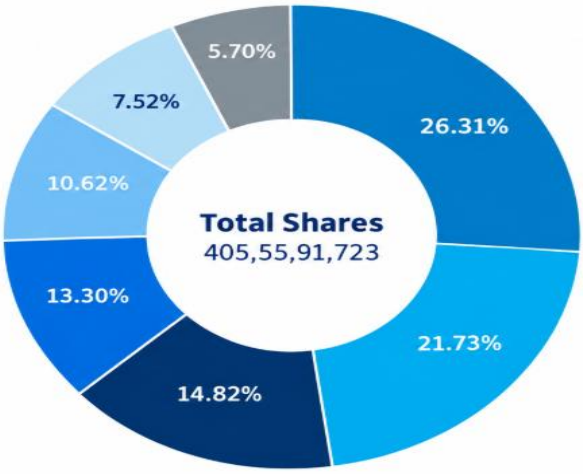
1 Year Stock Performance Comparison



Source: NSE

Infosys' 1-year price movement indicates a **strong rally followed by a sharp correction**. The stock touched a 52-week high of around **₹1,728** before declining toward the **₹1,000–₹1,100 zone**. The stock has recently shown some recovery attempts, but price action remains volatile. The **₹1,000–₹1,050 zone** acts as an important support area, while **₹1,150–₹1,200** can be observed as a near-term resistance zone. A sustained move above resistance could indicate improving momentum, whereas a break below support may increase downside pressure.

Shareholding Pattern



Infosys
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CATEGORY-WISE SHAREHOLDING TABLE

Category	% Holding
Foreign Portfolio Investors	26.31%
Mutual Funds	21.73%
Insurance Companies	14.82%
Promoters and Promoter Group	13.30%
Resident Individuals (Public)	10.62%
American Depositary Receipts (ADR)	7.52%
Others	5.70%
Total	**100.00%**

2. MAJOR SHAREHOLDERS (HOLDING > 1% AS ON MARCH 31, 2026)

Shareholder (holding > 1%, non-promoter, non-ADR)	% Holding	No. of Shares	Category
Life Insurance Corporation of India	10.67%	43,27,82,872	Insurance
ICICI Prudential Mutual Fund	4.38%	17,76,53,879	Mutual Fund
SBI Mutual Fund	4.31%	17,46,28,701	Mutual Fund
NPS Trust	2.77%	11,21,80,175	Pension Fund
Nippon India Mutual Fund	2.07%	8,40,66,207	Mutual Fund
HDFC Mutual Fund	1.88%	7,63,75,295	Mutual Fund
UTI Mutual Fund	1.64%	6,64,41,623	Mutual Fund
SBI Life Insurance Company Limited	1.30%	5,28,26,814	Insurance
Vanguard Total International Stock Index Fund	1.24%	5,02,43,818	FPI
Vanguard Emerging Markets Stock Index Fund*	1.17%	4,75,83,216	FPI
Aditya Birla Sun Life Mutual Fund	1.02%	4,12,73,453	Mutual Fund
Sudha Gopalakrishnan (largest individual Promoter holder)	**2.35%**	**9,53,57,000**	**Promoter**

3. SHAREHOLDING COMPARISON – YEAR-WISE TREND (CATEGORY %, TOTAL EQUITY BASIS)

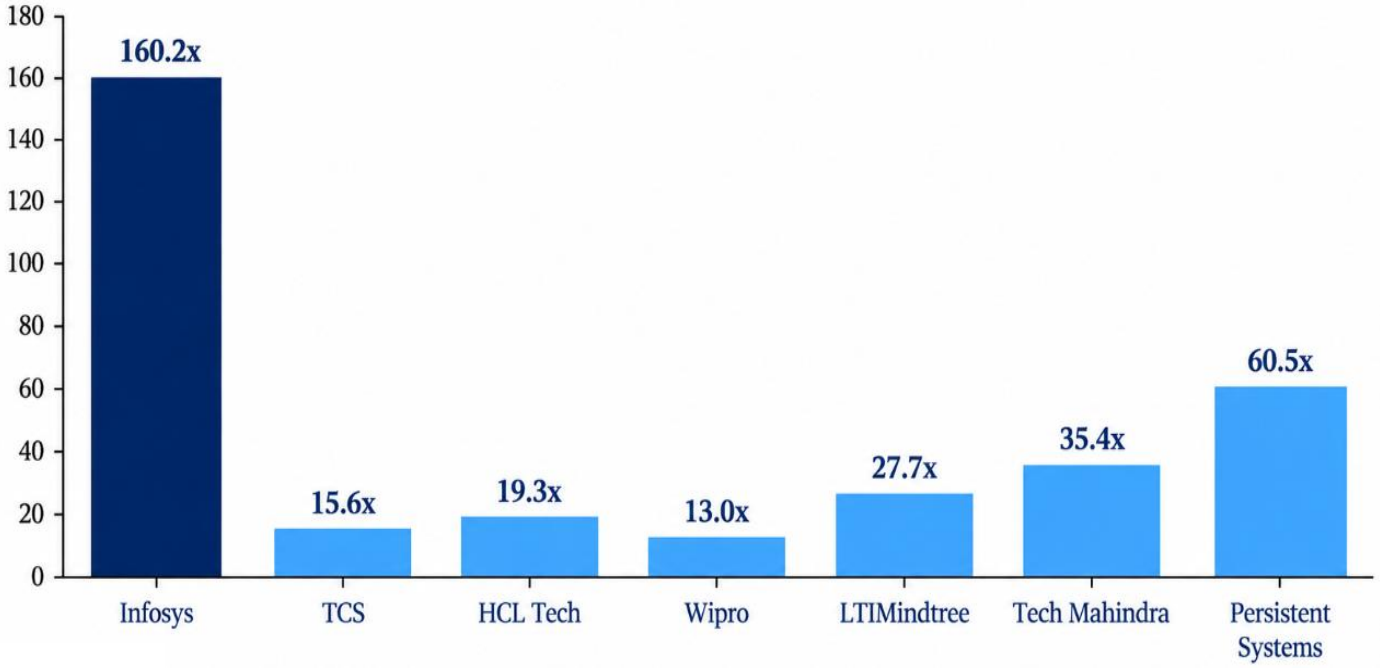
Category	As on Mar 31, 2023 (FY2022-23 AR)	As on Mar 31, 2025 (FY2024-25 disclosure)	As on Mar 31, 2026 (FY2025-26 AR)	3-Yr Change (FY23–FY26, pp)
Promoters and Promoter Group	13.30%	13.05%	13.30%	0.00
Foreign Portfolio Investors (FPI)	30.81%	29.40%	26.31%	-4.50
Mutual Funds	16.05%	18.28%	21.73%	+5.68
Insurance Companies	11.46%	13.64%	14.82%	+3.36
Resident Individuals (Public)	11.55%	10.42%	10.62%	-0.93
American Depositary Receipts (ADR)	12.19%	10.59%	7.52%	-4.67
Others	4.64%	4.62%	5.70%	+1.06

Source: NSE

Infosys' shareholding pattern indicates a diversified institutional investor base. **FPI holding declined from 30.81% in FY2022-23 to 26.31% in FY2025-26**, while **Mutual Fund holding increased from 16.05% to 21.73%**. Insurance Companies also increased their holding from **11.46% to 14.82%**. Promoter holding remained broadly stable at **13.30%**.

The shift indicates increased participation from **domestic institutional investors**, particularly Mutual Funds and Insurance Companies, while FPI and ADR holdings declined over the period. As of March 31, 2026, **FPI remains the largest shareholder category at 26.31%**, followed by Mutual Funds at 21.73%.

P/E (TTM) Analysis



Source: BSE

P/E Analysis

Infosys Ltd. currently trades at a trailing twelve-month (TTM) P/E of **160.2x**, compared with the selected IT services peer average of **28.6x**. Among the selected peers, TCS trades at 15.6x, HCL Technologies at 19.3x, Wipro at 13.0x, LTIMindtree at 27.7x, Tech Mahindra at 35.4x, and Persistent Systems at 60.5x. The peer average is calculated excluding Infosys.

The valuation comparison indicates that Infosys is trading at a **significantly higher P/E multiple** than the selected peer average. Its multiple is higher than that of all the selected peers, suggesting that the market is assigning a substantial premium to Infosys relative to its current earnings.

A higher P/E multiple may reflect market expectations of future earnings growth, business quality, profitability and competitive positioning. However, this premium should be evaluated alongside revenue growth, earnings sustainability, cash generation and the company's ability to meet market expectations.

Valuation risk: Infosys' elevated P/E multiple makes its valuation sensitive to changes in earnings expectations and investor sentiment. Slower earnings growth, margin pressure or weaker technology spending could lead to a contraction in the valuation multiple. Conversely, stronger-than-expected earnings growth and sustained profitability could support the premium.

Key takeaway: Infosys' P/E of **160.2x is substantially above the 28.6x selected peer average**, indicating a significant relative valuation premium. Investors should assess whether the company's expected earnings growth and business fundamentals justify this premium, alongside other valuation metrics such as EV/EBITDA and PEG ratio.

Peer Comparison

S. No.	Name	CMP Rs.	Debt / Eq	PEG Ratio	Cash Position	OPM %	EV Rs. Cr.	Prom. Hold. %
1	Infosys	1,060.00	0.05	0.78	43,075	25.0	~3,89,000	13.82
2	TCS	2,188.80	0.00	1.65	46,678	25.67	~7,45,000	71.77
3	HCLTech	1,253.00	0.08	2.76	~34,400	20.32	~3,08,000	60.88
4	Wipro	166.89	0.28	3.18	57,341	~11.7	~1,22,000	72.59
5	LTIMindtree	4,233.00	0.06	1.21	~12,000	17.75	~1,18,000	68.49
6	Tech Mahindra	1,558.00	0.16	1.60	~8,000	17.45	~1,48,000	34.97
7	Persistent Systems	5,440.00	0.06	1.45	23,007	16.19	~63,000	30.29

Source: BSE

COMPARE VALUATIONS WITH PEERS

Company		P/E	EV / EBITDA	PEG ratio
Infosys	Infosys Ltd.	160.2	108.5	1.42
tcs	Tata Consultancy Services Ltd.	15.6	11.2	1.39
HCLTech	HCL Technologies Ltd.	19.3	12.6	1.23
wipro	Wipro Ltd.	13.0	9.9	0.93
LTIMindtree	LTIMindtree Ltd.	27.7	19.4	1.42
TECH mahindra	Tech Mahindra Ltd.	35.4	21.2	1.09
Persistent	Persistent Systems Ltd.	60.5	40.8	1.87

Source: BSE

Peer Valuation – Key Insights

• **P/E Ratio:** Infosys has a P/E ratio of 160.2x, significantly above the peer median of 23.5x, indicating a substantial valuation premium relative to the selected IT services companies.

• **EV/EBITDA:** Infosys trades at 108.5x EV/EBITDA, considerably higher than the peer median of 16.0x, indicating a significant premium in enterprise valuation relative to EBITDA.

• **PEG Ratio:** Infosys' PEG ratio of 1.42x is above the peer median of 1.39x, suggesting a relatively higher valuation compared with its expected earnings growth.

• **Peer Comparison:** Infosys' P/E ratio of 160.2x is higher than TCS (15.6x), HCL Technologies (19.3x), Wipro (13.0x), LTIMindtree (27.7x), Tech Mahindra (35.4x) and Persistent Systems (60.5x).

• **Overall Valuation:** Infosys trades above the peer median across all three valuation metrics, with particularly significant premiums in P/E and EV/EBITDA. These multiples indicate elevated market expectations regarding the company's future performance.

Consensus Analysis

Analyst Coverage

Infosys
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BROKER RESEARCH & TARGET PRICE

PEOPLE
IDEAS
TECHNOLOGY
FOR A
BETTER TOMORROW

Date	Author	LTP (₹)	Target (₹)	Rating
24 Jul 2026	ICICI Securities	1,047.40	940	Sell
24 Jul 2026	AXIS SECURITIES	1,040.90	1,140	Hold
02 Jun 2026	Sharekhan by BNP PARIBAS	1,203.00	1,270	Buy
30 Apr 2026	Geojit BNP Paribas	1,181.80	1,334	Buy
23 Jul 2026	Motilal Oswal	1,047.40	1,170	Buy

Source: Market research by Author

Author's Opinion

Infosys has established itself as a leading global IT services company, supported by a strong delivery model, broad industry expertise and a growing portfolio across **AI, cloud, data, cybersecurity and digital transformation**. Its strategy has increasingly shifted toward helping clients navigate enterprise-scale AI adoption, with Infosys Topaz and Infosys Cobalt serving as important platforms for this transformation.

From a financial perspective, Infosys has maintained **strong revenue growth, operating profitability and cash generation**. In FY26, the company reported revenue of over **US$20 billion**, an adjusted operating margin of **21%** and free cash flow of **US$3.7 billion**. The company also secured **US$14.9 billion in large deals**, providing a foundation for future growth.

The technology services industry is being reshaped by **AI-led transformation, cloud adoption, cybersecurity, data modernization and enterprise technology spending**. Infosys' investments in Topaz, Cobalt, talent reskilling and its partner ecosystem position the company to participate in these growth areas. At the same time, intense competition, rapid technological change and demand for specialized digital skills remain important challenges.

Going forward, Infosys' ability to convert its **AI capabilities, large-deal pipeline and client relationships into sustainable revenue and margin growth** will be important. Continued investment in AI talent, cloud and data capabilities, alongside disciplined execution and responsible AI practices, can support its long-term strategy.

Overall, Infosys presents a business model built around global scale, strong technology capabilities, recurring enterprise relationships and increasing exposure to AI-led transformation. The key areas to monitor are growth conversion, operating margins, capital efficiency and the pace at which AI-related opportunities translate into measurable business outcomes.

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